As she walked out of bankruptcy court, Julie felt relieved that the $20,000 in debts were finally behind her and her future had become a clean slate. All these months of worrying were for nothing. It definitely was worth the $1,000 she had paid to the bankruptcy lawyer. Julie was surprised how easy it was and that she didn't feel the guilt she had thought she would.

In the past, there used to be a measure of shame attached with filing bankruptcy. You hid the fact from your relatives, your friends, and your neighbors. In Japan, it is so shameful that many people have committed suicide after filing bankruptcy. Nowadays, bankruptcy has become more commonplace, and some people even regard it as a valid financial tool.

Julie had no regrets until she started running into situations where her credit report was being accessed. The first time occurred when she went shopping for a new car. She had agreed on the purchase price with the car salesman and the only thing that stood between her new car and taking the bus was her credit report. Unfortunately, her credit report showed her bankruptcy. This disqualified the deal and she was referred to another car dealer, who would be able to approve clients like Julie.

This dealer did offer Julie a loan on a new car, with an interest rate of 31 percent. Julie lived in a state where there is no usury law, which sets a limit on how high an interest rate can go. The lender justified this rate since she was a high-risk client, having filed bankruptcy. Julie passed on the offer and decided that the bus wasn't so bad after all.

Although you might agree that a high-risk customer should be penalized by having to pay a higher interest rate, you might not realize that the average customer is also paying a penalty. The average credit card interest rate is 18 percent. This rate has steadily increased over the years, in large part because of the increase in bankruptcies. As companies are